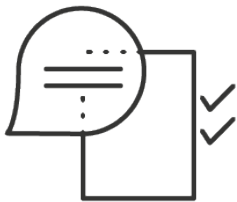


Types of Contracts

A contract is an agreement between competent legal parties to do or refrain from doing some legal act in exchange for consideration. Contracts fall into different types, depending on their characteristics, and a single contract will have more than one type assigned to it.



Express

A stated (written or oral) agreement between two parties to specific terms.



Implied

A contract that is based on the actions or behaviors of the parties, not on words.



Bilateral

A mutual contract that involves an exchange of promises or other consideration between two parties.



Unilateral

A contract in which consideration (such as a promise) is only given by one party to the other.



Enforceable

A contract that will stand up in court.



Unenforceable

A contract that will not hold up in court.



Valid

A contract that contains all the essential elements.



Invalid

A contract in which one or more of the essential elements is missing.



Void

A contract with no legal force or effect (to do something illegal, for example), which means the parties are not bound by it.



Voidable

A contract that may be cancelled by one or more parties for one of several reasons. It may be missing an essential element and thus invalid; it may contain a mistake or a misrepresentation, or it may have been created or executed by a party under duress.



Executed

A contract in which all the parties have met all terms of the contract.



Executory

A contract in progress; one or more terms of the contract remain undone.

Sales contracts are:

- Express
- Bilateral
- Valid
- Enforceable (in writing, for starters)
- Executed or executory